

CHAPTER 4

Titanic: The quote is from Dave Ingram's presentation at the Enterprise Risk Management Symposium in Chicago on May 2, 2005. For more on LTCM, see Lowenstein (2000), Dunbar (1999).

Hume's exposition: Hume (1748, 2000).

Sextus Empiricus: "It is easy, I think, to reject the method of induction (επαγωγή). For since by way of it they want to make universals convincing on the basis of particulars, they will do this surveying all the particulars or some of them. But if some, the induction will be infirm, it being that some of the particulars omitted in the induction should be contrary to the universal; and if all, they will labor at an impossible task, since the particulars and infinite are indeterminate. Thus in either case it results, I think, that induction totters." *Outline of Pyrrhonism*, Book II, p. 204.

Bayle: The *Dictionnaire historique et critique* is long (twelve volumes, close to 6,000 pages) and heavy (40 pounds), yet it was an intellectual bestseller in its day, before being supplanted by the *philosophes*. It can be downloaded from the French Bibliothèque Nationale at www.bn.fr.

Hume's inspiration from Bayle: See Popkin (1951, 1955). Any reading of Bishop Huet (further down) would reveal the similarities with Hume.

Pre-Bayle thinkers: *Dissertation sur la recherche de la vérité*, Simon Foucher, from around 1673. It is a delight to read. It makes the heuristics and biases tradition look like the continuation of the pre-Enlightenment prescientific revolution atmosphere.

Bishop Huet and the problem of induction: "Things cannot be known with perfect certainty because their causes are infinite," wrote Pierre-Daniel Huet in his *Philosophical Treatise on the Weaknesses of the Human Mind*. Huet, former bishop of Avranches, wrote this under the name Théocrite de Pluvignac, Seigneur de la Roche, Gentilhomme de Périgord. The chapter has another exact presentation of what became later known as "Hume's problem." That was in 1690, when the future David Home (later Hume) was minus twenty-two, so of no possible influence on Monseigneur Huet.

Brochard's work: I first encountered the mention of Brochard's work (1888) in Nietzsche's *Ecce Homo*, in a comment where he also describes the skeptics as straight talkers. "An excellent study by Victor Brochard, *Les sceptiques grecs*, in which my Laertiana are also employed. The